

HDFC BANK COMMERCIAL & MSME LENDING POLICY MANUAL

Document Reference: HDFC/COMM/POL/2026-V2 | **Division:** Wholesale & Commercial Banking

1. HDFC Unsecured Business Growth Loan

HDFC Bank provides collateral-free Business Growth Loans designed for Micro, Small and Medium Enterprises (MSMEs), sole proprietors, partnerships, LLPs, and private limited companies seeking rapid liquidity for capacity expansion, inventory stocking, and business operations.

Loan Quantum: Minimum ₹50,000 up to a maximum of ₹50,00,000 (₹50 Lakhs).

Interest Rate: Competitive rack rate from 11.90% to 21.35% per annum based on borrower risk grade and CIBIL score.

Repayment Tenure: Flexible tenure ranging from 12 months to 48 months in structured monthly EMIs.

Collateral Requirement: Nil. Strictly zero physical asset collateral or third-party guarantee required.

2. Mandatory Borrower Eligibility Criteria

To qualify for an HDFC Unsecured Business Growth Loan, the applicant enterprise must satisfy:

- **Business Vintage:** Minimum 3 continuous years in the current line of business with 5 years total business experience.
- **Annual Turnover:** Minimum annual gross revenue of ₹40,00,000 (₹40 Lakhs) as per audited financial returns / GST filings.
- **Profitability:** Minimum 2 years of positive profit after tax (PAT).
- **Bureau Benchmark:** CIBIL Commercial / TransUnion score of 700 and above with clean repayment track record.

3. Credit Guarantee Fund Trust for Micro & Small Enterprises (CGTMSE)

Under the Government of India / SIDBI CGTMSE scheme, HDFC Bank extends collateral-free credit facilities up to **₹5.00 Crore (₹500 Lakhs)**.

- **Guarantee Coverage:** 75% to 85% credit guarantee backed by the Government of India.
- **Primary Security:** Zero tangible asset mortgage; hypothecation of current assets created out of bank finance.
- **Requirement:** Valid Udyam MSME Registration Certificate is mandatory at the time of loan login.

4. Ineligible Activities & Prohibitions

HDFC Bank strictly prohibits commercial lending for:

- Speculative trading in cryptocurrencies (Bitcoin, Ethereum), digital asset derivatives, or intraday equities.
- Gambling, lottery ticket distribution, casino activities, or unregulated chit funds.
- Personal retail consumer consumption, luxury holidays, or residential land hoarding.